

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 15-10

**REVOCATION OF LICENSE NO. 017843
WASHINGTON MOVERS INTERNATIONAL, INC.**

**WASHINGTON MOVERS INTERNATIONAL, INC.'S EXCEPTIONS TO THE
COMMISSION'S INITIAL DECISION**

Pursuant to 46 C.F.R. § 502.227, Respondent Washington Movers International, Inc. ("Washington Movers" or "Respondent") respectfully files the following exceptions and moves the Federal Maritime Commission and its administrative court to reconsider its initial decision revoking Washington Mover's ocean transportation intermediary license (the "License"). Washington Movers states:

I. Summary of the Court's Decision

In its decision the administrative court states:

- "Washington Movers' participation in [Sam Ghanem's] felonies reflects directly upon Washington Movers..." Decision at 33.
- "The fact that the United States Attorney chose not to include Washington Movers as a defendant in the criminal action and there is no evidence proving that Norma Ghanem, the new owner, participated in the criminal activity are irrelevant to the question of whether the Commission may...revoke [Washington Movers'] license for violations of the Shipping Act related to the criminal activity." Decision at 35.

- “When Norma Ghanem acquired ownership, she took it with the liability of Washington Movers’ involvement in the criminal activity. Decision at 35.
- “The change in ownership...does not relieve Washington Movers of its responsibility for its actions in the criminal activity.” Decision at 36.
- “Washington Movers’ participation in the criminal activities...” Decision at 39.

Effectively, because Sam Ghanem violated 18 U.S.C. § 554 and 22 U.S.C. § 2778 and he owned Washington Movers at the time of his conviction, Washington Movers violated those criminal statutes. Based on these findings of fact and conclusions of law the administrative court concludes that Washington Movers’ license should be revoked. Decision at 39.

The administrative court also addresses the lesser charge of Washington Movers’ failure to inform the Commission that it changed its name from Washington Movers, Inc. to Washington Movers International, Inc. 46 C.F.R. § 515.20.

II. The Court Erred in Finding that Washington Movers Violated Criminal Statutes.

Washington Movers did not participate in criminal activity. Mr. Ghanem acted beyond the scope of his authority, and was punished. Pursuant to the Administrative Procedure Act, 5 U.S.C.S. § 556-57, the jurisdiction of the Federal Maritime Commission and its administrative court is limited. The Commission and its administrative court may make determinations as to violations of agency regulations, but not as to violations of criminal statutes. U.S. Const. Art. III, § 2, Cl 3 (“The trial of all crimes...shall be by jury”); see also 18 U.S.C.S. § 3231 (“The district courts of the United States [has] original jurisdiction ... of all offenses against the laws of the United States”).

Pursuant to 46 C.F.R. § 515.16(a)(1) “a license may be revoked or suspended for [the] violation of any provision of the [the Shipping Act], or any other statute or Commission order or regulation related to carrying on the business of an ocean transportation intermediary.” To

conclude that Washington Movers violated the foregoing regulation, the administrative court found that Washington Movers violated 18 U.S.C. § 554 and 22 U.S.C. § 2778 *vis-à-vis* Sam Ghanem. Again, the administrative court stated that Washington Movers participated in Sam Ghanem's felonies and was involved in criminal activity. See Decision at 33, 36, and 39.

If the Bureau of Enforcement (the "BOE") presented evidence showing that Washington Movers was convicted of violating 18 U.S.C. § 554 and 22 U.S.C. § 2778, such as an order entered by a district court of competent jurisdiction, then the Commission and administrative court could find that Washington Movers violated 46 C.F.R. § 515.16 (a)(1). But, the BOE presented no such evidence. Instead the BOE simply maintained that Washington Movers' license should be revoked because Sam Ghanem committed felonies and used Washington Movers as an instrument to do so. This is not enough, particularly since Mr. Ghanem acted alone, without assistance from anyone else at Washington Movers.

The Commission and its administrative court do not have jurisdiction to independently find that Washington Movers violated criminal statutes. That finding must have been made by a district court; only then could the Commission and its administrative court conclude that Washington Movers violated a criminal statute related to shipping, and in turn, conclude that the company violated 46 C.F.R. § 515.16 (a)(1).

III. The Court Erred in Taking Away Washington Mover's Property Due to Sam Ghanem's Conduct.

Washington Movers has a property interest in its License. Washington Movers is a separate, distinct entity from Sam Ghanem. See 1 U.S.C.S. § 1 ("the words person and whoever include corporations"); see also Korte v. Sebelius, 735 F.3d 654 (7th Cir. 2013) (in keeping with Dictionary Act, corporate plaintiffs were "persons" and could invoke statute's protection); see generally Citizens United v. FEC, 558 U.S. 310 (2010). The law forbids prosecuting a person and

taking away that person's property for another person's conduct. Harris News Agency, Inc. v. Bowers, 809 F.3d 411 (8th Cir. 2015); United States v. Lester, 85 F.3d 1409 (9th Cir. 1996) (holding that an innocent spouse's interest in property is unaffected by her husband's forfeiture to the Government even though property was used to "facilitate" criminal activity).

Harris News Agency proves instructive. In that case, James Harris Sr. and Lois Harris, husband and wife, sold guns under a federal license at their store, Jim's Hobbies. Harris News Agency at 412. Their two sons, James Harris Jr. and Brian Harris, also worked at the store. Id. Brian Harris had been convicted of a felony, but continued working at the store with firearms. Id. In 2011, the ATF investigated a tip about Brian working with firearms. Id. at 412-13. The investigation eventually resulted in James Sr. pleading guilty to lying to an ATF investigator about Brian possessing guns at the store. Id. at 413. To "keep the family business going," Lois Harris, as the company's president, applied for a new license on behalf of Harris News. Id. They hoped to continue operating Jim's Hobbies, through Harris News, without James Sr.'s or Brian's involvement. Id. The ATF rejected Ms. Harris' application and claimed that by working at Jim's Hobbies and "allowing" Brian to work with firearms and ammunition, Lois Harris had become liable for Brian's illegal possession. Id. However, nothing in the record suggested Lois Harris gave Brian guns, told customers to give him guns, directed him to work with guns, or did anything else to further his possession of guns. Id. At most, the family knew Brian handled guns and could have stopped him, but did not, which is still no more than negative acquiescence. Id. at 214. Thus, the Court held that "absent a showing Lois [Harris]...affirmatively helped Brian [Harris] possess guns illegally, the aiding-and-abetting statute does not make [her] liable for [Brian Harris'] alleged violations." Id. The ATF had no authority to deny Harris News' firearm license application and divest Harris News of its property interest in the same. Id.

United States v. Lester, 85 F.3d 1409 (9th Cir. 1996) is also instructive. In that case, Mr. Lester was convicted for conspiracy and property he owned with his spouse was forfeited to the government. Lester at 1410. On appeal, the court reversed and remanded the district court's order of forfeiture on the property. Id. at 1415. The court found that Mrs. Lester's vested interest in the property was not subject to forfeiture and that federal government could not use the substitute property provision to seize Mrs. Lester's interest in property to satisfy the forfeiture obligations of her husband. Id.

The present case is analogous. Washington Movers was not a party to the federal proceedings against Sam Ghanem. United States v. Sam Rafic Ghanem, Crim. Case No. RWT 14CR0008 (D. Md.). Norma Ghanem is an innocent spouse and business owner. In fact, Mr. Ghanem's alleged criminal conduct took place on Saturday, December 21, 2013, when Washington Movers was closed for business. Through the entirety of the proceedings, other than a passing allegation that Norma Ghanem was possibly within ear shot of a conversation between Sam Ghanem and an informant, no allegations even suggested that Norma Ghanem was involved in any criminal activity. Norma Ghanem and Washington Movers, then and now, remain unimpeachable.

Even the administrative court concludes that Sam Ghanem's conduct did not take place "through Washington Movers." Decision at 27. Sam Ghanem acted independently. There is no basis for this Court to find that Washington Movers participated in criminal activity, resulting in the revocation of its license.

IV. Washington Movers Made Good Faith Efforts to Comply with Regulations.

In 2015, Washington Movers, under the stewardship of Norma Ghanem filed an FMC-18 to change its name and its qualifying individual. After numerous inquiries to the Bureau of

Certification and Licensing (“BCL”), Washington Movers was informed that its application, despite its sufficiency, would not be approved due to the present proceeding. Norma Ghanem then sought to register another company with the FMC, and forfeit Washington Movers’ license upon the issuance of a license for the other company.

Ms. Ghanem could not have two outstanding applications, in which she was the proposed qualifying individual. Thus, Ms. Ghanem was forced to withdraw the then pending application for Washington Movers.

Ms. Ghanem attempted, in good faith, to comply with the FMC’s regulations, but was stopped because of a proceeding that revolved around her husband’s conduct. The coordination between the BOE and BCL to prevent Ms. Ghanem from moving forward was inappropriate and served no purpose. Harris News Agency, Inc. v. Bowers, 809 F.3d 411 (8th Cir. 2015). Ms. Ghanem and Washington Movers could not proceed with Washington Movers’ application for name change and qualifying individual change while this proceeding was pending. The public is in no way protected because Norma Ghanem cannot ship household goods, car parts, and wheelchairs.

Revoking Washington Movers’ license for its failure to notify the Commission of its name change and Sam Ghanem’s conviction is disproportionate to any offense by Washington Movers. As the Seventh Circuit recently noted, such charges have limits that must be defined by more than just prosecutorial discretion. United States v. Weimert, 819 F.3d 351 (7th Cir. 2016). At the heart of this case, Washington Movers’ license is in jeopardy because of Sam Ghanem’s *ultra vires* criminal conduct. Even worse than a vague mail fraud case, such as Weimert, no previous licensee has had its license revoked for failing to notify the FMC of its name change. Pursuant to its own precedent, the Commission reserves revocation only for the most egregious circumstances, in

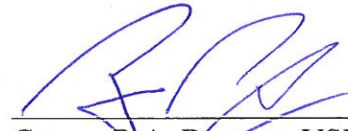
which licensees demonstrate no intent of future compliance. In the Matter of Ocean Transportation License in the Name of Apparel Logistics, Inc., Petition for Appeal from Staff Action or in the Alternative for Initiation of an Investigation, 30 S.R.R. 567, 570 (FMC 2004); see also Stallion Cargo, Inc. - Possible Violations of Sections 10(a)(1) and 10 (b) (1) of the Shipping Act of 1984, 29 S.R.R. 665, 683-84 (FMC 2001). That is not the case here.

If the BOE cannot prove that Washington Movers itself participated in a criminal activity, then Washington Movers should be free to continue doing business and complying with the FMC's regulations.

For the foregoing reasons, the administrative court's initial decision should be reversed.

Dated: July 21, 2017

Respectfully Submitted,



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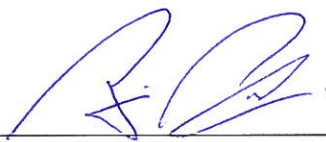
CERTIFICATE OF SERVICE

I certify that I sent a copy of the foregoing on July 21, 2017 via e-mail and first class mail,
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